

{++Skillsheet B6 | International Trade and Tariffs++}

B6.1 | International Trade

Opening a market to trade can increase domestic total surplus while making some domestic participants worse off.

Standard. You pass this skill if you can:

- Find the domestic equilibrium without trade, compare its price with a given world price, and determine whether the country imports / exports.
- For a small country taking the world price as given, find domestic quantity demanded and quantity supplied at that price, then calculate imports.
- Shade and calculate domestic consumer and producer surplus before and after opening to trade.
- Calculate the change in domestic total surplus and identify the domestic winners and losers in both importing and exporting cases.
- Trace how a change in the world price changes domestic production, consumption, trade volume, and surplus.

{++B6.2++} | Tariffs

An import tariff raises the domestic price while imports continue.

Practice: Exercise B6 · Vignette B6 · Homework B6.

You pass if you can:

- For a nonprohibitive per-unit import tariff, calculate domestic price, domestic quantities, and remaining imports.
- Calculate tariff revenue as the tariff times imports.

- Identify buyers' losses and sellers' gains relative to free trade, and identify the production and consumption deadweight-loss regions on a graph. Numerical surplus changes and DWL areas are not required.